

hard to see in the figure). Price confirms that this pattern is a valid triple top.

Had you sold this stock short at the confirmation point of 20.25, you should have covered your trade once price climbed above the highest high in the pattern, in this case, 23.88. This tactic would have kept losses to a rather large 18%, but that is certainly better than hoping for a decline while watching it rise to 33!

Sometimes, it is difficult to determine exactly why a stock fails to perform as expected. Often fundamentals are the key. In this case, the oil-field services sector was improving due to an increase in exploration activity and deep water drilling. In late January, the Federal Reserve cut two key interest rates by 0.25% giving hope that the stimulus would boost the health of the overall economy (or warning of future difficulty, hence the need to cut rates).

On the technical front, if you draw trendlines along the three tops and the minor lows, the pattern takes on the appearance of a descending broadening wedge since the three tops are at consecutively lower prices. With the wedge, it is difficult to predict in which direction the breakout will occur. The formation serves as a resting place for the stock as it gathers strength for the next up leg.

One could view the pattern as the corrective phase of a measured move up formation. The price prediction of the measured move fulfills quickly when price climbs to 28.88 in late April.

Statistics

[Table 68.2](#) shows general statistics for triple tops.